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UPDATE

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Global Macro Commentary | Global

October 30: Central Banks Hold Steady

BoJ and ECB on hold, as expected; de-escalation in US-China trade tensions, with US to lower tariffs by 10%; ECB remains data-dependent; BoJ's Ueda sees US downside risks easing; JPY underperforms G10; US rates extend sell-off; DXY at 99.526 (+0.3%); US 10y at 4.099 (+2.1bp).

A clear de-escalation in US-China trade tensions fails to offset weak risk sentiment in the wake of Fed Chair Powell's comments on Thursday.

Developed Markets

- **After a constructive meeting with Chinese President Xi, President Trump states that the US will lower tariffs on Chinese imports by 10%** and delay implementation of proposed export controls, in exchange for China postponing its own export controls and purchasing US soybeans. Risk assets show little reaction, as optimism for the meeting was largely priced beforehand. We estimate the new US effective tariff rate on China at roughly 30%, in line with our public policy strategists' expectations. Our China economists view these developments as a slight positive for growth, though a durable trade de-escalation remains elusive.

- **The BoJ keeps rates on hold at 0.50% as widely expected, driving a slight bull-steepening (2y JGB: -1.5bp; 20y: -0.5bp) as the Outlook Report comes in less hawkish than expected.** BoJ Governor Ueda's press conference afterwards does little to change this perception, as he remains noncommittal on near-term rate hikes. Accordingly, JGB futures rally in the Tokyo evening session. However, our economists now expect a rate hike in December as their base case given that Governor Ueda sees an easing in downside risks from the US. Although the rally in front-end JGBs is modest, yield differentials drive JPY weaker due to the sell-off in the US and Europe. USD/JPY ends the New York session 0.9% higher, with JPY leading losses among G10 currencies.

- **In another widely expected decision, the ECB holds rates at 2% with unchanged forward guidance.** Bunds show little reaction, with yields remaining 1-2bp higher largely on the back of Wednesday's move in US rates. Even so, our economists revise their ECB forecast in light of stronger real data over the past weeks, now expecting a hold in December with the next cut in March 2026. In their view, below-potential euro area GDP growth, a persistent undershoot in core inflation, and further EUR appreciation still point to an eventual continuation of rate cuts.

MORGAN STANLEY & CO. LLC
Bradley Tian
Strategist
Bradley.Tian@morganstanley.com +1 212 761-0826
Martin W Tobias, CFA
Strategist
Martin.Tobias@morganstanley.com +1 212 761-6076
Lingdi Xu
Economist
Lingdi.Xu@morganstanley.com +1 212 761-2957
Sofia Palacios
Strategist
Sofia.Palacios@morganstanley.com +1 212 761-0428

MORGAN STANLEY MUFG SECURITIES CO., LTD.+
Hiromu Uezato
Strategist
Hiromu.Uezato@morganstanleymufg.com +81 3 6836-8431

MORGAN STANLEY INDIA COMPANY PRIVATE LIMITED+
Nimish M Prabhune
Strategist
Nimish.Prabhune@morganstanley.com +91 22 6996-1862

MORGAN STANLEY & CO. INTERNATIONAL PLC+
Maria Chiara Russo
Strategist
Maria.Chiara.Russo@morganstanley.com +44 20 7677-3499

- **In a quiet session, US rates extend Wednesday's sell-off, potentially under additional pressure from strong corporate credit issuance.** The move shows a steepening bias, with 30y yields up 3bp. US equities sell off (S&P 500: -1%) as easing trade tensions are overshadowed by Fed Chair Powell's comments from Thursday and a negative reaction to large-cap tech earnings. Other cyclical sectors like Consumer Discretionary (-2.6%) lead the sell-off alongside tech (Communication Services: -2.1%). Gold and silver see strong demand amid weak risk sentiment, rallying 2-3%.

- **The dollar strengthens (DXY: +0.3%) as markets continue to price out future rate cuts past December**, with the likelihood of a cut in either December or January 2026 now only at 50%. The safe-haven CHF stores the fewest losses in the G10, weakening only 0.2% against USD. Meanwhile, risk-sensitive currencies underperform (NZD/USD: -0.4%; AUD/USD: -0.3%). In our view, near-term dollar-negative catalysts have faded in the absence of official data, but the global backdrop remains favorable for risk-sensitive currencies given declining inflation risks and easing trade tensions.

Emerging Markets

- **In the Asia session, AxJ currencies and rates sell off on the back of Thursday's FOMC meeting.** Despite the positive outcome of the Trump-Xi meeting, risk sentiment appears weak in China, with local equities selling off (CSI 300: -0.8%) as rates outperform (10y CGB: -1bp). In the wake of the meeting, CNH initially gains 0.1% but closes 0.3% weaker amid broad dollar strength. In Korea, KRW weakens 1%, reversing all of Wednesday's gains from the US trade agreement, under pressure from the downward move in JPY. Local rates bear-steepen, with 10y KTBs selling off 8bp. Thailand is a regional outperformer; THB weakens only 0.2% against USD, supported by the recovery in gold prices and an upward revision of the 2025 GDP growth forecast by the Finance Ministry to 2.4% (P: 2.2%).

- **CEEMEA rates sell off in line with the move in core rates.** In the Czech Republic, the entire curve shifts higher by 5bp, driven by a stronger-than-expected GDP print (2.7% y/y; C: 2.3%). In Hungary, the curve also shifts 5bp higher, despite a downside surprise in 3Q GDP at 0.6% y/y (C: 1.0%). ZAR underperforms regional currencies (USD/ZAR: +0.5%) despite strong gold prices, with SARB Governor Kganyago downplaying the likelihood of adding to the country's gold reserves.

- **LatAm rates and FX markets also extend their sell-off after Thursday's Fed meeting.** The Brazilian DI curve steepens notably, with long-end yields rising 10bps. BRL is also the weakest performer among regional currencies, weakening 0.4% against USD. Mexico's TIIE and Chile's CAM curves shift higher across all tenors, while Colombia's IBR curve steepens modestly, driven by a 9bps move in the 5y tenor, despite the absence of domestic catalysts. COP outperforms, climbing 0.5% against USD despite little change in oil prices (Brent: +0.1%).

Central Bank Monitor

Developed Markets

- **The BoJ maintained its policy rate at 0.50%** with a vote split of 7-2, unchanged from the prior meeting. The FY2025 GDP and price outlooks were both revised up by 10bp. During the press conference, the BoJ Governor Ueda said that "the likelihood of the central outlook being realized has increased," but also emphasized the need to see more data. BoJ appeared to focus more on Shunto wage negotiations for FY2026 rather than the US economy, and the initial momentum for this wage negotiation will be a key factor in the timing of the next hike. Read more

- **The ECB maintained its policy rate at 2.00%**, in line with expectations. The ECB remains in wait-and-see mode and retained its data-dependent approach. The ECB took stock of a better 3Q25 GDP than expected, and focused less on risks to the outlook than in September. Read more

Emerging Markets

- In India, **RBI Deputy Governor Sankar** said the central bank will continue to ensure ample liquidity in the banking system, pushing back on the notion that the domestic bond market did not transmit rate cuts. Sankar explained that India's journey toward capital account convertibility is an ongoing process, and the goal of internationalizing INR is not to replace USD. He highlighted the depth of the INR market and reiterated that the central bank will intervene in times of volatility

- In Malaysia, **BNM** said that its commitment to share FX intervention data with the US Treasury will not impede its ability to pursue FX intervention when needed. The central bank noted a long-standing stance against using MYR to boost trade competitiveness, adding that exchange rate movements are considered only to the extent that they affect the domestic inflation and growth outlook

- In Taiwan, the **CBC September monetary policy meeting minutes** showed that two board members believed the upward revision in Taiwan's 2025 GDP growth forecast left no room for rate cuts. In their view, the gradual decline in inflation also signaled no need for rate hikes. Several members expressed support for maintaining the current policy rate while ensuring ample liquidity through open market operations to support traditional industries and small- and medium-sized enterprises (SMEs). One member remarked that compared to cutting rates, open market operations provides greater flexibility

- In the Czech Republic, one **CNB** member highlighted services as a key domestic inflation risk, and believes the next move could be either a cut or a hike, suggesting a long period of rates on hold

- In South Africa, **SARB Governor Kganyago** downplays the likelihood of adding to the country's gold reserves. He said gold comprises more than 20% of current reserves, with some purchased when bullion prices were below $400/oz, providing little incentive to add to the position at current prices

Exhibit 1: G4 Rates Closes (5pm NY)

	US			Germany			UK			Japan		
Tenor	30-Oct	1d Δ (bp)	2wk	30-Oct	1d Δ (bp)	2wk	30-Oct	1d Δ (bp)	2wk	30-Oct	1d Δ (bp)	2wk
2y	3.608	1.0		1.984	1.2		3.789	2.8		0.927	(1.3)	
3y	3.609	1.1		2.044	1.6		3.785	3.7		0.997	(1.2)	
5y	3.718	0.7		2.251	2.0		3.907	3.6		1.211	(1.2)	
7y	3.899	1.5		2.386	2.2		4.039	3.8		1.435	(0.3)	
10y	4.097	2.1		2.642	2.2		4.423	3.1		1.647	(0.1)	
20y	4.633	3.0		3.103	1.5		5.070	2.1		2.575	0.0	
30y	4.654	2.9		3.198	1.1		5.180	1.7		3.036	(0.9)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

	US TIPS			10y Real Yields, BEI							
Tenor	30-Oct	1d Δ (bp)	2wk	10y	30-Oct	1d Δ (bp)	2wk	10y	30-Oct	1d Δ (bp)	2wk
5y	1.331	0.3		DBRi	0.683	0.9		BTPi	1.691	0.1	
BEI	2.383	0.7		BEI	1.756	1.4		BEI	1.726	1.3	
10y	1.798	2.5		UKTi	1.570	2.3					
BEI	2.298	(0.1)		BEI	2.920	0.8					
30y	2.432	3.6		JGBi	0.037	(0.5)					
BEI	2.227	(0.5)		BEI	1.580	0.4					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	30-Oct	1d Δ (%)	2wk	Spot	30-Oct	1d Δ (%)	2wk	Index	30-Oct	1d Δ (%)	2wk
DXY	99.53	0.3		CNH	7.11	0.2		S&P	6822.34	(1.0)	
EUR	1.157	(0.3)		INR	88.70	0.6		Stoxx	5699.18	(0.1)	
GBP	1.315	(0.3)		THB	32.38	0.3		FTSE	9760.06	0.0	
JPY	154.13	0.9		KRW	1430.40	0.7		Nikkei	51325.61	0.0	
CHF	0.802	0.3		ZAR	17.29	0.5		VIX	16.91	(0.1)	
AUD	0.656	(0.3)		MXN	18.53	0.2		Gold (S)	4024.54	2.4	
CAD	1.399	0.3		BRL	5.38	0.4		WTI (Fut)	60.57	0.1	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS															
Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (10/29)	4.120	0.0	--	EONIA (10/29)	1.931	0.0	--	SONIA (10/29)	3.969	0.0	--	TONAR (10/29)	0.477	0.0	--
12/10/25	3.700	(1.0)	(42.0)	12/18/25	1.917	0.8	(1.4)	11/06/25	3.906	0.2	(6.4)	12/19/25	0.591	2.1	11.4
01/28/26	3.618	0.0	(50.2)	02/05/26	1.898	0.4	(3.3)	12/18/25	3.812	0.7	(15.7)	01/23/26	0.685	(1.3)	20.8
03/18/26	3.526	(0.3)	(59.4)	03/19/26	1.857	0.4	(7.4)	02/05/26	3.658	0.9	(31.1)				
04/29/26	3.467	0.5	(65.3)	04/30/26	1.853	1.5	(7.8)	03/19/26	3.600	1.7	(36.9)				
06/17/26	3.327	1.2	(79.3)	06/11/26	1.823	(0.9)	(10.8)	04/30/26	3.487	1.8	(48.2)				
07/29/26	3.243	1.3	(87.7)	07/22/26	1.820	1.0	(11.1)	06/18/26	3.456	2.0	(51.3)				

Source: Morgan Stanley Research, Bloomberg

Economic Releases

Developed Markets

- **Sweden October NIER Economic Tendency Indicator October:** 100.8. Our economists note the improvement mainly reflects the expectations of improved activity and financial situation on the back of the 2026 Budget bill. The indicator is the first sign of 4Q, and points to an expansion of activity in October. Sentiment notably improved in retail trade, services sector and amongst consumers. Retail trade improved both on the back of stronger current sales and expectations.

Emerging Markets

- **Philippines September Trade Balance:** -$4.4bn (C: -$4.3bn; P: -$4.0bn); Exports: 15.9% y/y (C: 11.4%; P: 5.5%) and Imports: 2.1% y/y (C: -2.3%; P: -0.3%)
- **Singapore September Unemployment Rate:** 2.0% (C: 2.0%; P: 2.0%)
- **South Africa September PPI:** 2.3% y/y (C: 2.6%; P: 2.1%)
- **Czech 3Q GDP:** 2.7% y/y (MSe: 2.2%; C: 2.3%; P: 2.6%)
- **Hungary 3Q GDP:** 0.6% y/y (MSe: 0.9%; C: 1.0%; P: 0.1%)
- **Mexico 3Q GDP SA:** -0.02% (MSe: 0.5% y/y; P: 0.0%; C: -0.3%). Broadly in line with consensus, but lower than our economists' expectations, marking the first annual decline since 2020. This reinforces the case for further Banxico easing amid slowing economic growth. Currently, the market is pricing in ~45 bps of cuts for the remainder of 2025 and ~31 bps through August 2026, with a terminal rate near 6.76%. Our economists expect a 25bp rate cut at the November 6 meeting, followed by three additional cuts, bringing the terminal rate to 6.50% by March 2026.
- **Chile September Commercial Activity:** 9.3% y/y (P: 4.8%). Commerce strongly surprised to the upside, led by wholesale (+12.8%) and autos (+17.8%) driven by holiday effects and strong goods demand. Industrial output rose 1.5% y/y, with manufacturing up 5.0% (food and machinery) offsetting a -1.8% mining decline on weaker copper. Recovery remains uneven, as domestic demand is resilient and production soft. Markets are currently pricing in ~8bps of cuts in December and ~19bps of cuts in 2026, with a terminal rate near 4.47%. Our economists maintain their call for a 25 bp cut in December.

The Day Ahead

Developed Markets

- Fri 9:45am BST - **France October Preliminary CPI** (MSe: 1.0% y/y; C: 1.0%; P: 1.2%). We see core CPI and HICP stable in October, with headline pushed slightly down by lower energy and food inflation.
- 8:30am ET - **Canada August GDP** (C: 0.9%; P: 0.9%).

- 9:30am EST - **Dallas Fed President Logan** will speak at the Bank Funding Conference
- 12:00pm EST - **Cleveland Fed President Hammack** and **Atlanta Fed President Bostic** will speak at the Bank Funding Conference

Emerging Markets

- Fri 2:00pm EST - **Colombia BanRep Monetary Policy** (MSe: 9.25%; P: 9.25%; C: 9.25%). Our economists expect BanRep to remain on hold, in line with consensus. Inflation dynamics remain challenging, with services sticky and demand pressures more than offsetting the downward pressure from COP appreciation on goods inflation. The bar for a hike is still high, and we expect a neutral-to-easing bias. Markets are pricing in ~11 bps of hikes through the remainder of 2025 and ~11 bps by February 2026, implying a terminal rate near 9.48%. Read more
- 7:00am HKT - **Korea September Industrial Production** (C: 5.9% y/y; P: 0.9%)
- 9:30am HKT - **China October NBS Manufacturing PMI** (MSe: 49.6; C: 49.6; P: 49.8); **NBS Non-Manufacturing PMI** (C: 50.1; P: 50.0); **NBS Composite PMI** (P: 50.6)
- 10:00am HKT - **Singapore September M2 Money Supply** (P: 9.5% y/y)
- 3:00pm HKT - **Thailand September Current Account Balance** (C: $500mn; P: -$1.5bn)
- 3:30pm HKT - **Thailand September Trade Balance** (P: $810mn); **Exports** (P: 5.5% y/y) and **Imports** (P: 14.7% y/y)
- 4:00pm HKT - **Taiwan 3Q25 Advance GDP** (MSe: 5.5% y/y; C: 6.3%; P: 8.0%)
- 4:30pm HKT - **Hong Kong 3Q25 Advance GDP** (C: 3.0% y/y; P: 3.1%); **Retail Sales Value** (C: 2.6% y/y; P: 3.8%); **Retail Sales Volume** (C: 1.9% y/y; P: 3.2%)
- 6:30pm HKT - **India September Fiscal Deficit YTD** (P: INR5982bn)
- 7:00am BST - **Turkey September Trade Balance** (P: -US$4.21bn)
- 7:30am BST - **Hungary September PPI** (P: 2.3% y/y)
- 9:00am BST - **Poland October CPI** (MSe: 3.0% y/y; C: 3.0%; P: 2.9%)
- 12:00pm BST - **South Africa September Trade Balance** (C: ZAR6.9bn; P: ZAR4.0bn)
- 8:00am EST - **Brazil September National Unemployment Rate** (P: 5.6%; C: 5.5%). Consensus sees a slight decline, signaling continued labor market recovery.

For more details, please refer to our economists' weekly reports and data previews:

- *US*
- *Japan*
- *Europe*
- *Asia/Pacific*
- *LatAm*
- *CEEMEA*

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- G10 FX Strategy: Turning Neutral on the USD
- BoJ Watch & Macro Strategy: BoJ Likely to Hike in December - Shift from Risk Scenario to Base Case
- ECB Review: Cuts that Only Spring Can Bring
- Poland Economics and Macro Strategy: NBP Preview - No (More) Surprises?
- Czech Republic Economics and Macro Strategy: CNB Preview - Beyond the Numbers
- Mexico Economics & Strategy: Central Bank Preview - Cuts Continue

G4 Smarter (Beta) Trading Partners

MORGAN STANLEY & CO. LLC

Matthew Hornbach, CMT
Matthew.Hornbach@morganstanley.com
+1 212 761-1837

Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	10/15/2025	11/20/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	0%	100%	100%	10/7/2025	11/11/2025	-	-
US 10y Future	30.50%	100%	100%	100%	200%	10/14/2025	11/19/2025	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	10/15/2025	11/19/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

Global Macro Strategy Team

MORGAN STANLEY & CO. LLC	**Matthew Hornbach, CMT** Matthew.Hornbach@morganstanley.com	Global Head of Macro Strategy	+1 212 761-1837
	Bradley Tian	Global Macro Commentary	+1 212 761-0826
	Martin Tobias, CFA, CMT	US Rates Strategist	+1 212 761-6076
	Shaun Zhou	US Rates Strategist	+1 212 761-3348
	Aryaman Singh	US Rates Strategist	+1 212 761-1993
	Eli Carter	US Rates Strategist	+1 212 761-4703
MORGAN STANLEY & CO. LLC	**Andrew Watrous**	G10 FX Strategist	+1 212 761-5287
	Molly Nickolin	G10 FX Strategist	+1 212 761-3592
	Simon Waever Simon.Waever@morganstanley.com	Head of EM Sovereign Credit and Latin America Fixed Income Strategy	+1 212 296-8101
	Ioana Zamfir	Latin America Macro Strategist	+1 212 761-4012
	Emma Cerda	Latin America Sovereign Credit	+1 212 761-2344
MORGAN STANLEY & CO. INTERNATIONAL PLC	**James K. Lord** James.Lord@morganstanley.com	Global Head of FXEM Strategy	+44 20 7677-3254
	Gianluca Salford Luca.Salford@morganstanley.com	Head of European Rates Strategy	+44 20 7677-1337
	Lorenzo Testa	Euro Area Rates Strategist	+44 20 7677-0337
	Fabio Bassanin, CFA	UK Rates Strategist	+44 20 7425-1869
	Maria Chiara Russo	Euro Area Rates Strategist	+44 20 7677-3499
	David S. Adams, CFA David.S.Adams@morganstanley.com	Head of G10 FX Strategy	+44 20 7425-3518
	Neville Mandimika	CEEMEA Sovereign Credit Strategist	+44 20 7425-2509
	Arnav Gupta	CEEMEA Rates Strategist	+44 20 7677-0382
	David Cueva Oemer	CEEMEA Rates Strategist	+44 20 7425-2143
MORGAN STANLEY ASIA LIMITED+	**Gek Teng Khoo**	AXJ Macro Strategist	+852 3963-0303
MORGAN STANLEY MUFG SECURITIES CO., LTD.	**Koichi Sugisaki** Koichi.Sugisaki@morganstanleymufg.com	Head of Japan Macro Strategy	+81 3 6836-8428
	Hiromu Uezato	Japan Macro Strategist	+81 3 6836-8431

Disclosure Section

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

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